

Five dollars bought us a hundred clicks—every day. From a marketing point of view this was not very significant, but for learning it was priceless. Every single day we were able to measure our product's performance with a brand new set of customers. Also, each time we revised the product, we got a brand new report card on how we were doing the very next day.

For example, one day we would debut a new marketing message aimed at first-time customers. The next day we might change the way new customers were initiated into the product. Other days, we would add new features, fix bugs, roll out a new visual design, or try a new layout for our website. Every time, we told ourselves we were making the product better, but that subjective confidence was put to the acid test of real numbers.

Day in and day out we were performing random trials. Each day was a new experiment. Each day's customers were independent of those of the day before. Most important, even though our gross numbers were growing, it became clear that our funnel metrics were not changing.

Here is a graph from one of IMVU's early board meetings: